LBO for Husky Blue Diagnostics

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Deal Summary

Overview on Husky Blue Diagnostics:

HBD is currently a portfolio company of Calhoun Capital, a middle-market private equity firm who purchased them in 2018. It has since transformed from a localized Connecticut laboratory into a premier regional platform for Precision Safety Diagnostics across the Tri-State area, completing five strategic tuck-in acquisitions, modernizing its digital infrastructure, and securing Tier-1 status with three global aerospace OEMs. Now approaching seven years of ownership, Calhoun has reached its investment horizon and is seeking a transition of ownership to support HBD's next phase of geographic expansion into the Mid-Atlantic and Southeast markets.

Evaluation:

Hillside Private Capital is evaluating this opportunity as an equity investor, taking control of the business as the incoming sponsor rather than financing another firm's LBO. We believe HBD's recurring, legally-mandated revenue base and defensible Tier-1 certification moat make it a compelling platform for continued growth, and that the real return in this deal sits in the equity, not the debt. Our model generates a 17% IRR and 2.2x MOIC over a 5-year hold, driven by revenue growth, margin expansion through back office consolidation, and aggressive debt paydown.

Key Risks:

The key risks to monitor are the 2027 renewal cycle, where 60% of contracts expire simultaneously, geographic expansion execution, and management retention post-close. Each of these is addressed in detail later in this write-up, alongside our mitigants and diligence questions.

Valuation

Methodology:

To arrive at HBD's entry valuation, I benchmarked the company against four publicly traded Testing, Inspection, and Certification (TIC) companies that share HBD's core business model of compliance-driven, recurring service contracts for mission-critical industrial clients.

Comparable Companies:

SGS S.A. and **Bureau Veritas** represent the two largest global TIC platforms, both explicitly built around testing, inspection, certification, and compliance outcomes, which is the same value proposition HBD delivers to its aerospace, automotive, and defense clients. While both companies trade at a premium to HBD because of their global scale and diversification (13.0x and 11.7x EV/EBITDA respectively), they validate the quality and defensibility of the TIC business model. **Intertek Group** provides a fully integrated assurance, testing, inspection, and certification portfolio, making it a strong comp for HBD's compliance lifecycle story at 11.2x. **Mistras Group** is the closest comparison as its focus on asset protection, non-destructive testing, and inspection of mission-critical equipment without disassembly is almost exactly HBD's core service offering, trading at 5.6x given its smaller scale and lower recurring revenue mix.

Getting Our Entry Multiple:

The peer group yields a median EV/EBITDA of 11.5x and a mean of 10.4x. We applied a meaningful haircut to arrive at our 8.5x entry multiple, reflecting HBD's smaller scale, regional concentration in the Northeast, and the execution risk associated with the Mid-Atlantic and Southeast expansion. At the same time, HBD's 65% recurring revenue base, Tier-1 aerospace certifications, and legally mandated demand support a premium to the lower end of the range where Mistras trades. Applying the 8.5x entry multiple to HBD's 2025A LTM EBITDA of $11.5MM yields an **Enterprise Value of $98MM**, which serves as the basis for our LBO capital structure.

LBO Model Summary

Overview:

Our LBO model underwrites a 5-year hold period with entry in 2025 and an assumed exit in 2030 at the same 8.5x EV/EBITDA multiple applied at entry, which means all returns are generated through operational performance and debt paydown rather than through multiple expansion.

Entry & Exit:

At a $98MM enterprise value, the deal is financed with $57.6MM of unitranche debt (5.0x entry leverage) and $55MM of sponsor equity. At exit, EBITDA grows to $18.8MM, implying an exit enterprise value of approximately $156MM. After repaying the remaining $37.5MM of debt, sponsor equity is worth $115MM, bringing us to our ~17% IRR and 2.2x MOIC over the hold period 5 years.

Key Assumptions:

Revenue growth accelerates from 9% in Year 1 to 11% in Year 4, driven by the 2027 renewal cycle, geographic expansion into the Mid-Atlantic and Southeast, and 1-2 tuck-in acquisitions. EBITDA margins expand from 15.3% at entry, with a meaningful step-change to 17.0% in Year 2 reflecting the consolidation of back-office functions post-acquisition such as eliminating duplicate finance, HR, and management layers that were inherited from the Calhoun ownership period. Margins continue expanding through the hold as operating leverage builds on the expanded revenue base, peaking at 18.0% before settling at 17.3% at exit. CapEx is held at 6-6.5% of revenue, consistent with management's projections, and the debt structure carries no mandatory amortization, so all free cash flow sweeps directly against the unitranche, compressing leverage from 5.0x at entry to 2.0x at exit.

Value Drivers

Recurring, Legally-Mandated Revenue Base:

65% of HBD's revenue comes from multi-year compliance monitoring contracts that clients are legally required to maintain to keep their operating licenses and insurance coverage. This is not discretionary spending for these companies. An airline cannot fly, and an automotive OEM cannot operate without these certifications. This creates a revenue base that is highly predictable, resistant to economic downturns, and naturally keeps clients around given the switching costs associated with recertifying a new provider.

Tier-1 Certification Moat:

HBD has secured Tier-1 status with three global aerospace OEMs, which is a designation that smaller regional competitors cannot easily replicate. Obtaining the specialized certifications, advanced testing hardware, and security clearances required to compete at this level takes years and significant capital investment. This creates a structural barrier to entry that protects HBD's most valuable contracts from competitive displacement and supports pricing power on renewals, ultimately being one of the main value drivers.

Hub-and-Spoke Infrastructure:

Under Calhoun's ownership, HBD built a hub-and-spoke operating model that allows specialized technicians to be deployed from central depots to client sites across the region. This infrastructure is already built and paid for, so expanding into the Mid-Atlantic and Southeast does not require building from scratch, which means that new geographies can be entered at minimal incremental fixed cost and high incremental margins.

Fragmented Industry Creating M&A Runway:

The safety diagnostics industry remains highly fragmented, dominated by local independent labs that lack the certifications, capital, and scale to compete for Tier-1 contracts. This creates a great pipeline of tuck-in acquisition targets at attractive multiples, allowing HBD to consolidate the market and expand its geographic footprint as we mentioned earlier. When we acquire smaller regional labs at lower multiples and fold them into HBD via tuck ins, their earnings get valued at HBD's higher platform multiple at exit, so we effectively get more value out of those earnings than we paid for them.

2027 Renewal Cycle as a Near-Term Catalyst:

The 2027 renewal cycle is not just a risk, but it is also our biggest near-term opportunity. Contracts that were signed 3-5 years ago likely have not kept up with inflation or the expanded scope of services HBD now provides. Coming in as a new owner gives us a natural moment to reprice those contracts higher, lock in longer durations, and strengthen the recurring revenue base for the rest of the hold period.

Investment Thesis

HBD represents a compelling equity investment at an 8.5x entry multiple, supported by 65% recurring, legally-mandated revenue, a Tier-1 certification moat that limits competitive displacement, and public market comparables. Our modeled case underwrites 9-11% annual revenue growth anchored by the 2027 renewal cycle where we expect to retain most of the customer base including our top 12% revenue-driving client, followed by accelerating expansion into the Mid-Atlantic and Southeast markets through organic growth and 1-2 targeted tuck-in acquisitions. This drives EBITDA margin expansion from 15.3% at entry, with a step-change to 17.0% in Year 2 from back office consolidation post-acquisition, peaking at 18.0% before settling at 17.3% at exit, alongside debt/EBITDA compression from 5.0x at entry to 2.0x at exit. There is additional operational upside through renewal pricing power, cross-selling compliance contracts to New Program clients, and leveraging Calhoun's hub-and-spoke infrastructure to expand into new geographies at minimal incremental cost.

We evaluated three scenarios to stress test the investment. In the Management case, which underwrites their own conservative revenue growth and no operational improvements, equity still generates an 8.9% IRR and 1.53x MOIC. This is a floor that reflects the quality of the underlying business, even without any new value creation. Our modeled upside case, which reflects our independent growth strategies, generates a 17.3% IRR and 2.2x MOIC. In the Downside scenario, where revenue growth slows materially and margins compress, equity IRR turns negative at -2.9%. However, the debt investor still earns 8.1% with interest coverage never falling below 2.7x and exit leverage remaining manageable at 4.6x. This is exactly why we recommend the equity over the debt. The debt is already well-covered in every scenario, even the downside. This means there is no incremental safety being purchased by sitting in the debt, as the 8.1% debt IRR is fixed regardless of how well the business performs. The equity, by contrast, captures the full upside of our operational thesis. If we are right about revenue growth and back-office consolidation, the equity generates more than double the debt return. This means the real return in this deal belongs to the equity investor, not the lender.

Debt returns

Overview:

The acquisition is financed with a single $57.6MM unitranche term loan, representing 5.0x entry leverage against HBD's LTM EBITDA of $11.5MM. The remaining 48.8% of the capital structure is funded by $55MM of sponsor equity. We chose a unitranche structure over a traditional bank debt and senior notes split for a few reasons. A unitranche combines what would normally be two separate loans into one, meaning a single lender, a single set of loan terms, and a simpler, faster closing process. For a middle market deal like HBD, this flexibility is valuable, especially heading into a period where management's focus needs to be on executing the geographic expansion and renewal cycle, not managing multiple lender relationships at once.

The Rates:

The facility is priced at a 4.5% spread over SOFR, which based on the forward rate assumptions from the case study results in an all-in interest rate of approximately 8.1% in Year 1, stepping down slightly as SOFR normalizes to 3.5% over the hold period. The structure carries no mandatory amortization, meaning HBD is not required to make scheduled principal payments each year. Instead, all free cash flow sweeps directly against the outstanding balance, allowing the business to pay down debt as fast as its operations allow rather than on a fixed schedule. This works out greatly for HBD given its strong and growing free cash flow profile.

Result:

The result is leverage that compresses from 5.0x at entry to 2.0x at exit, meaning that for every dollar of EBITDA the business generates, there is significantly less debt sitting above it by the time we sell($5/$1 to $2/$1). This is driven by a combination of debt being paid down through free cash flow sweeps and EBITDA itself growing over the hold period. The result of this is: the business is clearly safer and thus more attractive to the next buyer, and it is a key reason interest coverage never falls below 2.7.

Returns Analysis

To test the investment, we modeled three scenarios: our Upside case, the Management case, and a Downside case. Each one has different assumptions around revenue growth, margins, and free cash flow generation. In all three cases, the debt investor earns a fixed 8.1% IRR. The equity returns, however, vary significantly depending on how the business performs.

Upside Case (Our Model):

This is the case we are underwriting, where revenue grows 9-11% annually driven by the 2027 renewal cycle, geographic expansion, and 1-2 tuck-in acquisitions. EBITDA margins step up to 17% in Year 2 from back-office consolidation and continue expanding to a peak of 18% before settling at 17.3% at exit. Free cash flow sweeps aggressively against the unitranche, compressing leverage from 5.0x to 2.0x. At exit, HBD generates $18.8MM of EBITDA, implying a $156MM enterprise value at our conservative 8.5x exit multiple. After repaying $37.5MM of remaining debt, sponsor equity is worth $122MM, which is a 17.3% IRR and 2.2x MOIC on our $55MM investment.

Management Case:

This reflects current management's own projections with no operational improvements layered on top. Revenue grows at their projected 4-8% and margins expand modestly. Equity still generates an 8.9% IRR and 1.53x MOIC, which is a meaningful floor that reflects the quality of the underlying business even without any value creation from our end. The fact that equity still generates nearly 9% on management's conservative numbers alone is a strong signal that this is a fundamentally sound business and industry.

Downside Case:

In the Downside, revenue growth slows materially and margins compress. Free cash flow is weaker, meaning less debt gets paid down over the hold period, ultimately leaving $56MM of debt outstanding at exit versus $37.5MM in our Upside case. After repaying the lender, only $47.4MM of equity value remains against our $55MM investment, resulting in a -2.9% IRR. The business does not go to zero, meaning the enterprise value at exit is still $103MM, but the debt takes priority and leaves limited equity value behind.

Why Equity Over Debt:

The debt investor earns 8.1% in every scenario regardless of performance. That consistency is the point because the debt is already safe without us needing to be in it. Interest coverage never falls below 2.7x and leverage remains serviceable even in the Downside. By contrast, our Upside equity IRR of 17.3% is more than double what the debt pays because we have done the work of identifying a business that management is underselling and have a specific operational plan to create value. The real return in this deal is in the equity, not the coupon, and the stress test confirms that conviction.

Case Risks & Mitigants

2027 Renewal Concentration: 60% of contracts expire simultaneously including our largest client at 12% of revenue. A poor renewal outcome is the fastest way the thesis breaks down.

- *Mitigant:* HBD's services are legally required, so clients cannot walk away without finding a certified Tier-1 replacement, which takes years and switching cost is high. First priority post-close is entering early renewal conversations to get ahead of 2027.

Geographic Expansion Execution: revenue acceleration from Year 2 onward depends on successfully entering the Mid-Atlantic and Southeast. Delays or cost overruns could cause us to miss growth targets.

- *Mitigant:* Calhoun already built the hub-and-spoke infrastructure that makes this expansion capital-light. We are deploying an existing operating model into new markets, not building one.

Management Retention: key OEM relationships are likely person-dependent and without retention agreements there is no guarantee senior personnel stay post-close.

- *Mitigant:* It's standard practice is to negotiate management retention packages and equity rollovers at signing, aligning key people's financial interests directly with ours.

New Program Certification Cyclicality: the 35% project-based segment is tied to client R&D budgets. An aerospace or automotive capex slowdown weakens near-term revenue and the pipeline of future recurring contracts.

- *Mitigant:* 65% of revenue is legally mandated and completely insulated from this cyclicality rate. Even in a severe R&D pullback, the majority of HBD's revenue base is untouched.

Tuck-In Integration Risk: our model underwrites 1-2 acquisitions. Poor target selection or integration challenges could pressure margins and distract management during an important growth phase.

- *Mitigant:* Calhoun successfully integrated five tuck-ins under their ownership. This gives HBD a proven playbook for absorbing smaller operators, which reduces but does not eliminate this risk.

Diligence Questions

Revenue & Customer Quality

- What is the status of renewal conversations with the 60% of clients whose contracts expire in 2027, particularly the customer representing 12% of revenue?
- Are there any new client relationships currently in the pipeline, specifically ones from the New Program Certification, and at what stage are those conversations/negotiations?
- What has the historical renewal rate been on expiring compliance contracts and have you ever lost a Tier-1 client?

Expansion & M&A

- Are there active tuck-in acquisition targets being evaluated, and what do typical entry multiples look like for regional diagnostics platforms?
- What is current technician utilization across the hub-and-spoke network, and how much Mid-Atlantic and Southeast volume can you handle right now before requiring new hires and/or infrastructure?

Management & Sponsor Dynamics

- Is the current management team committed to staying post-transaction, particularly those managing the Tier-1 OEM relationships?

Financial & Risk

- What are the specific contract terms on the top customer in terms of length, pricing escalators, and termination clauses?